

Examples of Cash Inflows from Financing Activities: (i) Cash proceeds from issuing shares (equity or/and preference) (ii) Cash proceeds from issuing debentures, loans, bonds and other short-term borrowings/long-term borrowings.

Examples of Cash Outflows from Financing Activities: (i) Cash repayments of amounts borrowed, e.g. redemption of debentures or preference shares, buy back of equity shares, repayment of long-term debts, etc. (ii) Interest paid on debentures and long-term debts (iii) Dividends paid (both final dividend and interim dividend)

➤ Treatment of Some Peculiar Items

1. **Extraordinary items:** Extraordinary items are not the regular phenomenon, i.e. non-recurring in nature. Examples: (i) Loss due to theft or earthquake or flood (ii) Insurance proceeds from the famine settlement/ earthquake disaster settlement.

2. **Interest and Dividend:** *In case of a non-financial enterprise:* (i) Payment of interest and dividends are classified as cash outflows from financing activities. (ii) Receipt of interest and dividends are classified cash inflows from investing activities.

In case of a financial enterprise (whose main business is lending and borrowing): (i) Interest paid, interest received and dividend received are classified as operating activities. (ii) Dividend paid is a cash outflow from financing activities.

➤ Taxes – Treatment in Cash Flow Statement

S. No.	Types of Taxes	Classification of Activities
1.	Income tax (i.e. tax on normal profit/operating profit)	Cash outflow from operating activities
2.	Capital gains tax (i.e. tax on capital profits e.g. gain on sale of land and building)	Cash outflow from investing activities
3.	Dividend tax (i.e. tax on the amount distributed as dividend to shareholders)	Cash outflow from financing activities

➤ Non-Cash Transactions: As per AS-3, investing and financing transactions that do not require the use of cash or cash equivalents are termed as non-cash transactions. They should be excluded from a cash flow statement since there is no inflow or outflow of cash and cash equivalents. *Examples of non-cash transactions:* (i) Issue of shares or debentures to the vendors for the purchase of fixed assets (ii) Redemption of debentures by converting them into equity shares (iii) Issue of fully paid bonus shares.

- An enterprise may hold securities and loans for dealing or for trading purposes. In either case they represent 'Inventory' specifically held for resale. Therefore, cash flows arising from the purchase and sale of dealing or trading securities are classified as operating activities.
- Cash advances and loans made by financial enterprises (whose main business is lending and borrowings) are usually classified as operating activities since they relate to main activity of that enterprise.
- A transaction may include cash flows that are classified differently. For example, when the instalment paid in respect of a fixed asset acquired on deferred payment basis includes both interest and loan, the interest element is classified under financing activities and the loan element is classified under investing activities.
- Same activity may be classified differently for different enterprises. For example, purchase of shares is an operating activity for a share brokerage firm (an investment company) while it is investing activity in case of other enterprises.
- *Examples of activities which are an investing activity for every type of enterprise:* Purchase of Goodwill, Purchase of Fixed assets, Sale of fixed assets
- *Examples of activities which are a financing investing activity for every type of enterprise:* Dividends paid, Issue of Shares, Redemption of Preference shares, Buy Back of shares, Issue of Debentures, Redemption of Debentures, Obtaining Long Term Loans, Repayment of long term loans

Accountancy XII - Formats of Journal and Ledger

Chapter 1: Financial Statements of Not-for-Profit Organizations

➤ Treatment of Membership Subscriptions

Dr.	Subscription Account		Cr.
Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance b/d (<i>outstanding at the beginning</i>)	xxx	By Balance b/d (<i>opening advance subscription</i>)	xxx
To Income and Expenditure A/c (<i>Bal. Fig.</i>)	xxx	By Receipt and Payment A/c (<i>total subscription received</i>)	xxx
To Balance c/d (<i>closing advance subscription</i>)	xxx	By Balance c/d (<i>outstanding at the end</i>)	xxx
	xxxx		xxxx

➤ Treatment of Expenses (e.g. Salary, Rent, etc.)

Particulars	Amount (₹)
Expenses paid during the year (as per Receipts and Payment A/c)	xxx
Less: Opening outstanding expenses	(xxx)
Add: Closing outstanding expenses	xxx
Add: Opening prepaid/advance expenses	xxx
Less: Closing prepaid/advance expenses	(xxx)
Expenses to be shown in Income and Expenditure A/c	xxxx

➤ **Special Funds** (e.g. match fund, sports fund, building fund, etc.)

Balance Sheet (an extract)

Liabilities	Amount (₹)	Assets	Amount (₹)
<u>Match Fund</u>		x% Match Fund Investment	xxx
Opening balance	xxx	Accrued interest on match fund investment	xxx
Add: Income (interest) from match fund investment received	xxx		
Add: Accrued income (interest) on match fund investment	xxx		
Add: Donation for match fund	xxx		
Add: Sale of match tickets	xxx		
Less: Match Expenses	(xxx)		
	xxxx		

➤ **Preparation of Receipt and Payment Account**

Receipt and Payment Account for the year ending

Receipts	Amount (₹)	Payments	Amount (₹)
To Balance b/d		<i>By Balance b/d (Bank overdraft)*</i>	xxx
Cash in Hand	xxx	By Wages and Salaries	xxx
Cash at Bank*	xxx	By Rent	xxx
To Subscriptions from members	xxx	By Rates and Taxes (e.g. Municipal Taxes)	xxx
To General Donations	xxx	By Electricity and Water charges	xxx
To Entrance fees/Admission fees	xxx	By Miscellaneous Expenses	xxx
To Sale of old newspapers/periodicals/waste papers	xxx	By Insurance Premium	xxx
To Sale of old sports materials	xxx	By Sports Materials	xxx
To Interest on fixed deposits with banks/Interest on Bank Deposits	xxx	By Printing and Stationery	xxx
To Interest/Dividend on general investments	xxx	By Postage and courier charges	xxx
To Locker Rent/Rent received	xxx	By Advertisement	xxx
To Sale of scraps	xxx	By Sundry expenses	xxx
To Proceeds from charity show	xxx	By Telephone charges	xxx
To Miscellaneous receipts	xxx	By Entertainment expenses	xxx
To Grants-in-aid	xxx	By Audit fees	xxx
To Legacies	xxx	By Honorarium	xxx
To Life membership fees	xxx	By Repairs and Renewals	xxx
To Specific Donations e.g. Donation for Gym	xxx	By Upkeep of ground	xxx
To Sale of Investments	xxx	By Charity	xxx
To Sale of Fixed Assets	xxx	By Conveyance charges	xxx
To Receipts on account of specific funds	xxx	By Newspapers	xxx
To Interest/Dividend on specific funds investments	xxx	By Subscription for Periodicals/Magazines	xxx
<i>To Balance c/d (Bank Overdraft)*</i>	xxx	By x% Fixed Deposits with Banks	xxx
		By Purchases of Assets e.g. Machinery, Computers, etc.	xxx
		By Purchase of Investments	xxx
		By Balance c/d	
		Cash in hand	xxx
		Cash at Bank*	xxx
	xxxxx		xxxxx

➤ **Preparation of Income and Expenditure Account**

Income and Expenditure Account for the year ending

Expenditure	Amount (₹)	Income	Amount (₹)
To Charities	xxx	By Interest on General Fund Investment	xxx
To Tournament Expenses (<i>if there is no tournament fund</i>)	xxx	By Fees or Profit from Entertainment	xxx
To Salaries and Wages	xxx	By Subscription	xxx
To Consumables	xxx	By Entrance Fees/Admission Fees	xxx
To Rent, Rates and Taxes	xxx	By Interest/Income from Investment	xxx
To Postage, Stamps, Courier charges	xxx	(<i>e.g. Interest on Govt. Bonds/Defence Bonds,</i>	xxx
To Telephone/Electricity charges	xxx	<i>Interest on Fixed Deposits with banks)</i>	xxx
To Advertising	xxx	By Miscellaneous Receipts	xxx
To Sundry (or miscellaneous) expenses	xxx	By Locker Rent	xxx
To Entertainment expenses	xxx	By Hall Rent/Hire of ground for marriage	xxx
To Upkeep of field and pavilion, Grass seeds, etc.	xxx	By General Donation	xxx
To Depreciation on fixed assets	xxx	By Sale of old sports material, old newspapers,	xxx
To Fixed assets destroyed	xxx	old magazines, old periodicals, waste-paper scraps	
To Loss on sale of fixed assets	xxx	By Profit on sale of assets/old assets	

To Loss on sale of investment	xxx	By Govt. grants in aid (of recurring nature) (e.g. cash subsidy from government)	xxx
To Insurance Premium	xxx	By Sale of food stuff (Refreshment Revenue)	xxx
To General expenses (e.g. help to needy students)	xxx	Less: Purchase of food stuff (Refreshment Expenses)	
To Charity Show expenses	xxx	By Profit on Sports	xxx
Less: Charity Show Receipts		By Receipts from Charity Show	xxx
(If charity show expenses exceed receipts)		Less: Charity show Expenses	
To Conveyance/Travelling expenses	xxx	(If charity show receipts exceed expenses)	
To Honorarium (e.g. payment to an artist, lecturer's fees)	xxx	By Deficit (Excess of expenditure over income)	xxx
To Subscription paid for periodicals, magazines, newspapers	xxx		
To Audit Fees/Tuition fees/Meeting expenses	xxx		
To Office expenses	xxx		
To Repairs and Renewals	xxx		
To Expenses on Nukar Drama	xxx		
To Interest paid on Loan	xxx		
To Surplus (Excess of income over expenditure)	xxx		
	xxxxx		xxxxx

➤ Preparation of Balance Sheet

Balance Sheet of as on

Liabilities	Amount (₹)	Assets	Amount (₹)
• Capital fund/General Fund - Opening Balance xxx - Add: Surplus (or Less: Deficit) xxx - Add: Legacies xxx - Add: Life Membership Fees xxx - Add: Entrance Fees (Capitalised portion) xxx • Special Fund (e.g. match fund) xxx • Specific Donations (e.g. for Billiards Table) xxx • Endowment Fund xxx • Loan xxx • Income Received in Advance (Locker rent advance) xxx • Outstanding Expenses xxx • Creditors for Consumables (e.g. Stationery) xxx • Subscription Received in Advance xxx • Bank Overdraft xxx		• Cash in hand and /or Cash at Bank xxx • Fixed Deposits with Banks xxx • Interest Accrued on Investments xxx • Interest Accrued on Bank Deposits xxx • Accrued Income (e.g. o/s locker rent) xxx • Playground xxx • Prepaid Expenses xxx • General Fund Investment xxx • Special Fund Investment xxx • Interest Accrued on Special Fund Investment xxx • Stock of Consumables (like Stationery) xxx • Advance Paid to Creditors/Suppliers of Consumables (like Stationery) xxx • Subscription Outstanding (Accrued) xxx • Fixed Assets (e.g. Building, Sports Equipment, Machinery, Furniture, Books, Billiards Table, TV set, etc.) - Opening Balance xxx - Add: Purchase during the year xxx - Less: Book Value of Sales during the year (xxx) - Less: Depreciation (xxx) xxx • Investments (e.g. x% Bonds or Govt. Papers, x% Defence Bonds, etc.) - Opening Balance xxx - Add: Purchases during the year xxx - Less: Sale during the year (xxx) xxx	
	xxxxx		xxxxx

Chapter 2: Accounting for Partnership Firms

➤ Maintenance of Capital Accounts of Partners

1. Fixed Capital Method

Dr.			Partner's Capital Account			Cr.	
Date	Particulars	Amount (₹)	Date	Particulars	Amount (₹)		
	To Bank A/c (withdrawal of capital)	xxx		By Balance b/d (opening balance)	xxx		
	To Balance c/d (closing balance)	xxx		By Bank A/c (additional capital)	xxx		
		xxx			xxx		

Dr. **Partner's Current Account** Cr.

Date	Particulars	Amount (₹)	Date	Particulars	Amount (₹)
	To Balance b/d (<i>Dr. opening balance</i>)	xxx		By Balance b/d (<i>Cr. opening balance</i>)	xxx
	To Bank A/c (<i>Drawings</i>)	xxx		By Interest on capital	xxx
	To Interest on drawings	xxx		By Salary	xxx
	To Profit & Loss A/c (<i>Share of loss</i>)	xxx		By Commission	xxx
	To Balance c/d (<i>Cr. closing balance</i>)	xxx		By Profit & Loss Appropriation A/c (<i>share of profit</i>)	xxx
				By Balance c/d (<i>Dr. closing balance</i>)	xxx
		xxx			xxx

2. Fluctuating Capital Method

Dr. **Partner's Capital Account** Cr.

Date	Particulars	Amount (₹)	Date	Particulars	Amount (₹)
	To Bank A/c (<i>withdrawal of capital</i>)	xxx		By Balance b/d	xxx
	To Bank A/c (<i>Drawings</i>)	xxx		By Bank (<i>fresh capital introduced</i>)	xxx
	To Interest on drawings	xxx		By Interest on capital	xxx
	To Profit and Loss A/c (<i>for share of loss</i>)	xxx		By Salary/Commission	xxx
	To Balance c/d	xxx		By Profit and Loss Appropriation A/c (<i>for share of profit</i>)	xxx
		xxx			xxx

➤ Distribution of Profit among Partners

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
1.	Transfer of the balance of Profit and Loss Account to Profit and Loss Appropriation Account			
(a)	<i>If Profit and Loss Account shows a credit balance (net profit):</i> Profit and Loss A/c Dr. To Profit and Loss Appropriation A/c			
	<i>If Profit and Loss Account shows a debit balance (net loss):</i> Profit and Loss Appropriation A/c Dr. To Profit and Loss A/c			
2.	Interest on Drawings			
(a)	<i>For charging interest on drawings to partners' capital/current A/cs:</i> Partners' Capital/Current A/cs (individually) Dr. To Interest on Drawings A/c			
(b)	<i>For transferring interest on drawings to Profit and Loss Appropriation A/c:</i> Interest on Drawings A/c Dr. To Profit and Loss Appropriation A/c			
3.	Interest on Capital			
(a)	<i>For crediting interest on capital to partners' capital/current A/cs:</i> Interest on Capital A/c Dr. To Partner's Capital/Current A/cs (individually)			
(b)	<i>For transferring interest on capital to Profit and Loss Appropriation A/c:</i> Profit and Loss Appropriation A/c Dr. To Interest on Capital A/c			
4.	Partner's Salary			
(a)	<i>For crediting salary to partner's capital/current A/cs:</i> Partner's Salary A/c Dr. To Partners' Capital/Current A/cs (individually)			
(b)	<i>For transferring salary to Profit and Loss Appropriation Account:</i> Profit and Loss Appropriation A/c Dr. To Partner's Salary A/c			
5.	Partner's Commission			
(a)	<i>For crediting commission to partners' capital/current A/cs:</i> Partner's Commission A/c Dr. To Partners' Capital/Current A/cs (individually)			
(b)	<i>For transferring commission to Profit and Loss Appropriation A/c:</i> Profit and Loss Appropriation A/c Dr. To Partner's Commission A/c			

6.	Transfer a proportion of net profit to General Reserve A/c Profit and Loss Appropriation A/c To General Reserve A/c	Dr.		
7.	Share of Profit or Loss after appropriations			
(a)	<i>For distribution of share of profit after appropriations in profit sharing ratio:</i> Profit and Loss Appropriation A/c To Partners' Capital/Current A/cs (<i>individually</i>)	Dr.		
(b)	<i>For distribution of share of loss after appropriations in profit sharing ratio:</i> Partners' Capital/Current A/cs (<i>individually</i>) To Profit and Loss Appropriation A/c	Dr.		

Dr.		Profit and Loss Appropriation A/c		Cr.	
Particulars	Amount (₹)	Particulars	Amount (₹)		
1. To Profit and Loss A/c (<i>Net Loss</i>)	xxx	1. By Profit and Loss A/c (<i>Net Profit</i>)	xxx		
3. To Interest on Capital (<i>individually</i>)	xxx	2. By Interest on Drawings (<i>individually</i>)	xxx		
4. To Partner's Salary (<i>individually</i>)	xxx	7. By Loss transferred to Partners' Capital/ Current A/c (<i>individually in their profit sharing ratio</i>)	xxx		
5. To Partner's Commission (<i>individually</i>)	xxx				
6. To Transfer to General Reserve	xxx				
7. To Profits transferred to Partners' Capital/ Current A/c (<i>individually in their profit sharing ratio</i>)	xxx				
	xxxx		xxxx		

Chapter 3: Goodwill, Admission of a New Partner and Change in Profit Sharing Ratio

➤ Treatment of Goodwill: New partner brings goodwill in cash

1. Goodwill (premium) paid through the firm which is retained in the business

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Cash/ Bank A/c To Premium for Goodwill A/c (Amount brought by new partner as premium)	Dr.		
	Premium for Goodwill A/c To Existing Partners' Capital A/c (<i>Individually</i>) (Goodwill distributed among the existing partners in their sacrificing ratio)	Dr.		

2. Goodwill (premium) brought by the new partner and the same withdrawn by the sacrificing partners fully or partly.

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Existing Partner's Capital A/c (<i>Individually</i>) To Cash/Bank A/c (Being amount of goodwill withdrawn by the existing partners)	Dr.		

3. When the new partner brings in his share of goodwill in cash and goodwill already exists in the Balance Sheet.

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Old Partners' Capital/Current A/c (<i>individually</i>) To Goodwill A/c (Being existing goodwill written-off in old ratio)	Dr.		

➤ Treatment of Goodwill: New partner does not bring goodwill premium

1. Goodwill Account is raised and written off at its full value.

A. When no goodwill exists in the books

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	(i) <i>For raising goodwill at full value in the old ratio</i> Goodwill A/c To Old Partners' Capital/Current A/cs (<i>individually</i>)	Dr.		
	(ii) <i>For writing off goodwill at full value in the new ratio</i> All Partners' Capital/Current A/cs (<i>individually</i>) To Goodwill A/c	Dr.		

B. When goodwill already exists in the books

(i) *When the value of goodwill appearing in the books is less than the valued goodwill*

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Goodwill A/c (<i>valued goodwill – existing goodwill</i>) Dr. To Old Partners' Capital/Current A/cs (<i>individually</i>) (Goodwill raised in old ratio)			
	All Partners' Capital/Current A/cs (<i>individually</i>) Dr. To Goodwill A/c (<i>valued goodwill</i>) (Goodwill written off in new ratio)			

(ii) *When the value of goodwill appearing in the books is more than the valued goodwill*

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Old Partners' Capital/Current A/c (<i>individually</i>) Dr. (<i>existing goodwill – valued goodwill</i>) To Goodwill A/c (Goodwill written off in old partners' accounts in old ratio)			
	All Partners' Capital/Current A/c (<i>individually</i>) Dr. To Goodwill A/c (<i>valued goodwill</i>) (Goodwill written off in new ratio)			

2. Goodwill is adjusted through Partners' Capital/Current Accounts

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	New Partner's Capital/Current A/c (<i>his share of goodwill</i>) Dr. To Old Partners' Capital/Current A/c (<i>individually</i>) (Goodwill adjusted through Old Partners' Capital/Current Accounts in their sacrificing ratio)		4,000	1,000 3,000

➤ **Adjustment for Accumulated Profits and Losses**

1. Accumulated Profits:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Reserve A/c/Profit and Loss A/c Dr. To Old Partners' Capital/Current A/cs (<i>individually</i>) (Being accumulated profits distributed in old profit sharing ratio)			

2. Accumulated Losses:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Old Partners' Capital/Current A/cs (<i>individually</i>) Dr. To Profit and Loss A/c (Being accumulated losses distributed in old profit sharing ratio)			

➤ **Revaluation of Assets and Reassessment of Liabilities**

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
1.	For increase in the value of an asset: Asset A/c (gain) Dr. To Revaluation A/c			
2.	For reduction in the value of a liability: Liability A/c (gain) Dr. To Revaluation A/c			
3.	For recording or selling an unrecorded asset: Unrecorded Asset A/c or Cash/Bank A/c Dr. To Revaluation A/c			

➤ **Change in Profit Sharing Ratio among the Existing Partners**

I Method: Adjustment of goodwill through partners' capital/current accounts

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Gaining Partner's Capital/Current A/c Dr. To Sacrificing Partner's Capital/Current A/c (Adjustment of goodwill made between partners due to change in profit sharing ratio)			

II Method: Raising goodwill at its full value in the old profit sharing ratio and then writing it off in the new ratio

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Goodwill A/c Dr. To Partner's Capital/Current A/c (<i>individually</i>) (Being goodwill raised at its full value in the old profit sharing ratio)			
	Partner's Capital/Current A/c (<i>individually</i>) Dr. To Goodwill A/c (Being goodwill written off at its full value in the new profit sharing ratio)			

Chapter 4: Reconstitution of a Partnership Firm: Retirement/Death of a Partner

➤ **Treatment of Goodwill**

I Method: Goodwill is raised at its full value and written off immediately

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For raising goodwill at its full value: Goodwill A/c Dr. To All Partners' Capital/Current A/cs (<i>individually</i>) (Being goodwill raised at full value and credited to all the partners in their old profit sharing ratio)			
	For writing off goodwill: Remaining Partners' Capital/Current A/cs (<i>individually</i>) Dr. To Goodwill A/c (Being goodwill written off and debited to remaining partners in the new ratio)			

II Method: Goodwill is adjusted directly through partners' capital/current accounts

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Continuing Partners' Capital/Current A/cs (<i>individually</i>) Dr. To Retiring/Deceased Partner's Capital A/c (Retiring/deceased compensated by the remaining partners in their gaining ratio)			

➤ **Adjustment of Accumulated Profits and Losses**

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For transfer of accumulated profits (reserves): Reserves A/c Dr. Profit and Loss A/c Dr. To All Partners' Capital/Current A/cs (<i>Individually</i>) (Being reserves/accumulated profits transferred to all partners' capital/current accounts in old profit sharing ratio)			
	For transfer of accumulated losses: All Partners' Capital/Current A/cs (<i>Individually</i>) Dr. To Profit and Loss A/c (Being accumulated loss transferred to all partners' capital/current accounts in their old profit-sharing ratio)			

➤ Disposal of Amount Due to Retiring Partner

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	When retiring partner is paid cash in full:			
	Retiring Partners' Capital A/c Dr. To Cash/Bank A/c			
	When retiring partner's whole amount is treated as loan:			
	Retiring Partner's Capital A/c Dr. To Retiring Partner's Loan A/c			
	When retiring partner is partly paid in cash and the remaining amount treated as loan:			
	Retiring Partner's Capital A/c (Total Amount due) Dr. To Cash/Bank A/c (Amount Paid) To Retiring Partner's Loan A/c (Amount of Loan)			
	When Loan account is settled by paying in installment includes principal and interest:			
	(a) For interest on loan			
	Interest A/c Dr. To Retiring Partner's Loan A/c			
	(b) For payment of installment			
	Retiring Partner's Loan A/c Dr. To Cash/Bank A/c			

Chapter 5: Dissolution of a Partnership Firm

➤ Preparation of Realisation Account

Dr.	Realisation Account		Cr.
Particulars	Amount (₹)	Particulars	Amount (₹)
1. To Sundry Assets (<i>excluding cash, bank and the fictitious assets</i>) transferred:		2. By External Liabilities (<i>including provisions, if any</i>) transferred:	
Land and Building	xxx	Sundry creditors	xxx
Plant and Machinery	xxx	Bills payables	xxx
Furniture and Fittings	xxx	Bank overdraft	xxx
Bills receivables	xxx	Outstanding expenses	xxx
Sundry debtors	xxx	Partner's relative's loan	xxx
5. To Cash/Bank (payment of liabilities)	xxx	Provision for doubtful debts	xxx
6. To Partner's Capital /Current A/c (liability assumed by the partner)	xxx	Provision for depreciation	xxx
7. (b) To Cash/Bank A/c (payment to creditor as amount due exceeds the agreed value of asset taken over)	xxx	Investment Fluctuation Fund	xxx
8. (a) To Cash/Bank A/c (payment of realisation expenses)	xxx	3. By Cash/Bank A/c (sale/realisation of assets)	xxx
(b) To Partner's Capital /Current A/c (realisation expenses paid by the partner)	xxx	4. By Partner's Capital /Current A/c (assets taken by the partner)	xxx
(c) (i) To Partner's Capital/Current A/c (remuneration/commission paid to the partner)	xxx	7. (c) By Cash/ Bank A/c (amount received from creditor as value of asset taken over exceeds the amount due)	xxx
10. To Cash/Bank A/c (payment of unrecorded liabilities)	xxx	9. By Cash/Bank A/c (sale of unrecorded assets including goodwill, if any)	xxx
11. (a) To Partner's Capital /Current A/c (<i>individually</i>) (Profit transferred to partners' capital / Current accounts in their profit sharing ratio)	xxx	11. (b) By Partner's Capital/ Current A/c (<i>individually</i>) (Loss transferred to partners' capital /Current accounts in their profit sharing ratio)	xxx
	xxxxx		xxxxx

➤ Journal Entries

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	1. For transfer of assets Realisation A/c (<i>Book value</i>) To Assets (Individually) A/c	Dr.		
	2. For transfer of external liabilities including provisions, if any External Liabilities (individually) A/c (<i>Book value</i>) To Realisation A/c	Dr.		
	3. For sale/realisation of assets Cash/Bank A/c (<i>realised amount</i>) To Realisation A/c	Dr.		
	4. For an asset taken over by a partner Partner's Capital/Current A/c To Realisation A/c	Dr.		
	5. For payment of liabilities Realisation A/c To Cash/Bank A/c	Dr.		
	6. For a liability which a partner takes responsibility to discharge Realisation A/c To Partner's Capital/Current A/c	Dr.		
	7. For settlement with the creditor through transfer of assets (a) <i>When a creditor accepts an asset in full and final settlement of his account:</i> No journal entry (b) <i>If the creditor accepts an asset only as part payment of his/her dues, the entry will be made for cash payment only.</i> Realisation A/c To Cash/Bank A/c (c) <i>When a creditor accepts an asset whose value is more than the amount due to him, he/she will pay cash to the firm for the difference.</i> Cash/Bank A/c To Realisation A/c	Dr.		
	8. Realisation Expenses (a) <i>When realisation expenses are paid by the firm:</i> Realisation A/c To Cash/Bank A/c (b) <i>When realisation expenses are paid by a partner on behalf of the firm:</i> Realisation A/c To Partner's Capital/Current A/c (c) <i>When a partner has agreed to undertake the dissolution work for an agreed remuneration (e.g. commission) and bears the actual realisation expenses:</i> (i) <u>For agreed remuneration to such partner</u> Realisation A/c To Partner's Capital /Current A/c (ii) <u>For payment of realisation expenses</u> • <i>If the partner himself incurs/pays the realisation expenses:</i> No journal entry • <i>If payment of realisation expenses is made by the firm on behalf of the partner:</i> Partner's Capital /Current A/c To Cash/Bank A/c	Dr.		
	9. For settlement of unrecorded assets (i) <i>If an unrecorded asset is taken over by a partner:</i> Partner's Capital/Current A/c To Realisation A/c (ii) <i>If unrecorded assets are sold:</i> Cash/Bank A/c To Realisation A/c	Dr.		
	10. For settlement of any unrecorded liability or contingent liability Realisation A/c To Cash/Bank A/c	Dr.		
	11. For transfer of profit or loss on realisation (a) <i>In case of profit on realisation</i> Realisation A/c To Partners' Capital /Current A/c (individually)	Dr.		

	(b) <i>In case of loss on realisation</i> Partners' Capital /Current A/c (individually) To Realisation A/c	Dr.		
	12. For transfer of accumulated profits (reserve fund or general reserve or credit balance of profit and loss account) and Workmen's Compensation Fund Reserve Fund/General Reserve/Profit and Loss A/c Workmen's Compensation Fund A/c To Partners' Capital /Current A/c (individually)	Dr. Dr.		
	13. For transfer of fictitious assets (e.g. debit balance of profit and loss account, deferred revenue advertisement expenditure, etc.) to partners' capital/current accounts in their profit sharing ratio Partners' Capital /Current A/c (individually) To Fictitious Asset A/c	Dr.		
	14. Settlement of partner's loan (a) For settlement of loan advanced by a partner (appearing on the liabilities side of the balance sheet) (i) <i>If the partner's loan is settled at the same amount:</i> Partner's Loan A/c To Cash/Bank A/c (ii) <i>If the partner's loan is settled at a loss to the firm:</i> Partner's Loan A/c Realisation A/c To Cash/Bank A/c (iii) <i>If the partner's loan is settled at a profit to the firm, the journal entry will be:</i> Partner's Loan A/c To Cash/Bank A/c To Realisation A/c (b) For settlement of loan given to a partner by the firm (appearing on the asset side of the Balance Sheet): Partner's Capital/Current A/c To Loan to Partner A/c	Dr. Dr. Dr. Dr.		
	15. For settlement of partners' capital accounts (a) <i>If the partner's capital account shows a credit balance, the same must be paid to the partner.</i> Partners' Capitals A/cs (individually) To Cash/Bank A/c (b) <i>If any partner's capital account shows a debit balance, he brings in the necessary cash.</i> Cash/Bank A/c To Partner's Capital A/c	Dr. Dr.		

Chapter 6: Accounting for Share Capital

➤ Disclosure of Share Capital in Balance Sheet of a Company

Balance Sheet of _____ as at _____ (As per Schedule III of the Companies Act, 2013)

Particulars	Note No.	Current Year (₹)	Previous Year (₹)
I. EQUITY AND LIABILITIES			
1. Shareholders' Funds			
(a) Share Capital	1.		

Notes to Accounts:

Note No. 1: Share Capital

Particulars	Current Year (₹)	Previous Year (₹)
Authorised or Registered or Nominal Capital: ... shares of ₹.... each		xxx
Issued Capital: shares of ₹.... each issued to public shares of ₹.... each issued to vendor shares of ₹.... each issued to the signatories to the MOA	xxx xxx xxx	xxx

Subscribed Capital:		
<u>Subscribed and fully paid capital</u>		
'x' shares of ₹.... each issued to public	xxx	
... shares of ₹.... each fully paid issued to vendor	xxx	
.... shares of ₹.... each issued to the signatories to the MOA	xxx	xxx
<u>Subscribed but not fully paid capital</u>		
'x' shares of ₹.... each issued to public, ₹y each called up	x × y	
Less: Calls-in-arrears*	(xxx)	
Add: Shares forfeiture account**	xxx	xxx
		xxx

*Only if shares are not forfeited. **Only if forfeited shares are not reissued.

➤ Accounting Treatment– Issue of Shares to the Public

On application

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c Dr. To Share Application A/c (Being amount received on application for ____ shares @ ₹____ per share including premium, if any)			

On allotment

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For Transfer of Application Money Share Application A/c Dr. To Share Capital A/c ¹ To Securities Premium Reserve A/c ² To Calls-in-Advance A/c ³ (Allotment + Call(s)) To Bank A/c ⁴ (Being application money on ____ shares transferred to Share Capital)			
	For Amount Due on Allotment Share Allotment A/c ⁵ Dr. To Share Capital A/c ⁶ To Securities Premium Reserve A/c ⁷ (Being allotment money due on ____ shares allotted @ ₹____ per share)			
	For Receipt of Allotment Money Bank A/c ¹⁰ Dr. Calls-in-Advance A/c ⁸ Dr. Calls-in-Arrears A/c ⁹ Dr. To Share Allotment A/c ⁵ (Being allotment money received on ____ Shares @ ₹____ per share)			

- No. of shares issued and subscribed × Application money rate without premium
- No. of shares issued and subscribed × Securities premium included in application money rate
- Excess application money adjusted in allotment and/or call(s) money
- (No. of shares rejected × Application money rate including premium) + Refund of excess application money after adjusting in allotment and/or call(s).
- No. of shares issued and subscribed × Allotment money rate including premium
- No. of shares issued and subscribed × Allotment money rate without premium
- No. of shares issued and subscribed × Securities premium included in allotment money rate
- Excess application money adjusted in allotment money
- Unpaid allotment money
- (5) – (8) – (9) i.e. (No. of shares issued and subscribed × Allotment money rate including premium) – Excess application money adjusted in allotment – Unpaid allotment money

On Calls

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
(i)	For Call Amount Due Share Call A/c ¹¹ Dr. To Share Capital A/c ¹² To Securities Premium Reserve A/c ¹³ (Being call money due on ____ Shares @ ₹____ per share including premium)			

(ii)	For Receipt of Call Amount Bank A/c ¹⁶ Calls-in-Advance A/c ¹⁴ Calls-in-Arrears A/c ¹⁵ To Share Call A/c ¹¹ (Being call money received)	Dr. Dr. Dr.			
------	---	-------------------	--	--	--

11. No. of shares issued and subscribed × Call money rate including premium
12. No. of shares issued and subscribed × Call money rate without premium
13. No. of shares issued and subscribed × Securities premium included in call money rate
14. Excess application money adjusted in call money
15. Unpaid call money
16. (11) – (14) – (15) i.e. (No. of shares issued and subscribed × Call money rate including premium) – Excess application money adjusted in call money – Unpaid call money

Forfeiture of Shares

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Share Capital A/c ¹⁷ *Securities Premium Reserve A/c ¹⁸ To Share Forfeiture A/c ¹⁹ To Calls in Arrears A/c ²⁰ (Being ____ shares forfeited for non-payment of allotment money and calls made)	Dr. Dr.		

17. Number of shares forfeited × Called up amount rate without premium
18. Number of shares forfeited × Premium amount per share not received
*Securities Premium Reserve A/c is debited only if premium money is not received on the forfeited shares. Thus, if the defaulter shareholder has paid the full premium amount, Securities Premium Reserve A/c will not be debited.
19. Amount already received on forfeited shares. But it does not include premium amount.
20. Total unpaid allotment and/or calls amount on forfeited shares including premium

Re-issue of Forfeited Shares

Reissue at par/paid-up value

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c To Share Capital A/c (Being forfeited shares reissued at par)	Dr.		

Re-issue at premium (i.e. at a price more than paid-up value)

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c To Share Capital A/c To Securities Premium Reserve A/c (Being forfeited shares reissued at premium)	Dr.		

Reissue at Discount (i.e. at a price less than paid-up value)

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c (@ re-issued price) Shares Forfeited A/c (Discount on re-issue) To Share Capital A/c (@ paid-up value) (Being forfeited shares reissued at discount)	Dr. Dr.		

The balance of Share Forfeiture Account relating to reissued shares only, should be treated as capital profit and transferred to Capital Reserve Account. The journal entry will be:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Shares Forfeited A/c To Capital Reserve A/c (Being balance of shares forfeited account after re-issue transferred to capital reserve account)	Dr.		

➤ Issue of Shares for Consideration other than Cash

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	1. On purchase of business Sundry Assets A/c (<i>individually</i>) Dr. *Goodwill A/c (if purchase consideration > Net assets taken over) Dr. To Sundry Liabilities A/c (<i>individually</i>) To Vendor's A/c (purchase consideration) To *Capital Reserve A/c (if purchase consideration < Net assets taken over) (Being business purchased from the vendor)			
	2. For payment through cash/cheque/bank draft Vendor's A/c Dr. To Bank A/c (Being part payment through cash/cheque/bank draft) OR For payment through bills of exchange/acceptance/promissory note Vendor's A/c Dr. To Bills Payable A/c (Being part payment through bills of exchange/acceptance/promissory note)			
	3. On issue of shares (a) <i>At par</i> Vendor's A/c Dr. To Share Capital A/c (Being ___ shares issued at par for the remaining payment) (b) <i>At premium</i> Vendor's A/c Dr. To Share Capital A/c To Securities Premium Reserve A/c (Being ___ shares issued at premium for the remaining payment)			

* Either of the two will appear.

Chapter 7: Issue and Redemption of Debentures

➤ Issue of Debentures for Cash

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	On receipt of application money Bank A/c Dr. To x% Debenture Application A/c			
	For adjustment of applications money on allotment x% Debenture Application A/c Dr. To x% Debentures A/c To Securities Premium Reserve A/c			
	For allotment money due x% Debenture Allotment A/c Dr. To x% Debentures A/c To Securities Premium Reserve A/c OR x% Debenture Allotment A/c Dr. Discount on Issue of Debenture A/c Dr. To x% Debentures A/c			
	On receipt of allotment money Bank A/c Dr. To x% Debenture Allotment A/c			

➤ Terms of Issue of Debentures

1. Issued at par and redeemable at par

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For receipt of application money Bank A/c Dr. To x% Debenture Application & Allotment A/c			
	For allotment of debentures x% Debenture Application & Allotment A/c Dr. To x% Debentures A/c			

2. Issued at a discount and redeemable at par

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For receipt of application money Bank A/c Dr. To x% Debenture Application & Allotment A/c			
	For allotment of debentures at a discount x% Debenture Application & Allotment A/c Dr. Discount on Issue of Debentures A/c Dr. To x% Debentures A/c			

3. Issued at premium and redeemable at par

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For receipt of application money Bank A/c Dr. To x% Debenture Application & Allotment A/c			
	For allotment of debentures at a premium x% Debenture Application & Allotment A/c Dr. To x% Debentures A/c (<i>with nominal value of debenture</i>) To Securities Premium Reserve A/c (<i>with premium on issue</i>)			

4. Issued at par and redeemable at a premium

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For receipt of application money Bank A/c Dr. To Debenture Application & Allotment A/c			
	For allotment of debentures at par and redeemable at premium Debenture Application & Allotment A/c Dr. Loss on Issue of Debentures A/c (<i>with premium on redemption</i>) Dr. To x% Debentures A/c (<i>with nominal value of debenture</i>) To Premium on Redemption of Debenture A/c			

5. Issued at a discount and redeemable at a premium

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	For receipt of application money Bank A/c Dr. To x% Debenture Application & Allotment A/c			
	For allotment of debentures at a discount and redeemable at premium x% Debenture Application & Allotment A/c Dr. Loss on Issue of Debentures A/c (<i>discount on issue and premium on redemption</i>) Dr. To x% Debentures A/c (<i>nominal value of debenture</i>) To Premium on Redemption of Debentures A/c			

6. Issued at a premium and redeemable at a premium

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Bank A/c Dr. To Debenture Application & Allotment A/c			
	Debenture Application & Allotment A/c Dr. Loss on Issue of Debentures A/c (<i>with premium on redemption</i>) Dr. To Debentures A/c (<i>with nominal value of debenture</i>) To Securities Premium Reserve A/c (<i>with premium on issue</i>) To Premium on Redemption of Debentures A/c			

➤ **Writing-off Discount or Loss on Issue of Debentures (AS 16)****Journal**

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Securities Premium Reserve A/c Statement of Profit and Loss To Discount or Loss on Issue of Debentures A/c (Being discount or loss on issue of debentures written-off)	Dr. Dr.		

➤ **Interest on Debentures****Journal**

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	When interest is due Debenture Interest A/c To TDS Payable/Income Tax Payable A/c To Debentureholders A/c (Being amount of interest due on debenture and tax deducted at source)	Dr.		
	For payment of interest to debentureholders Debentureholders A/c To Bank A/c (Being amount of interest paid to debentureholders)	Dr.		
	On payment of tax deducted at source to the Government TDS Payable/Income Tax Payable A/c To Bank A/c (For payment of tax deducted at source on interest on debentures)	Dr.		
	On transfer of Debenture Interest to Statement of Profit and Loss Statement of Profit and Loss To Debenture Interest A/c (Being debenture interest transferred to statement of profit and loss)	Dr.		

➤ **Issue of Debentures for Consideration other than Cash****Journal**

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	1. On purchase of business Sundry Assets A/c (<i>individually</i>) *Goodwill A/c (if purchase consideration > Net assets taken over) To Sundry Liabilities A/c (<i>individually</i>) To Vendor's A/c (purchase consideration) To *Capital Reserve A/c (if purchase consideration < Net assets taken over) (Being business purchased from the vendor)	Dr. Dr.		
	2. For payment through cash/cheque/bank draft Vendor's A/c To Bank A/c (Being part payment through cash/cheque/bank draft) OR For payment through bills of exchange/acceptance/promissory note Vendor's A/c To Bills Payable A/c (Being part payment through bills of exchange/acceptance/promissory note)	Dr.		
	3. On issue of debentures (a) <i>At par</i> Vendor's A/c To x% Debentures A/c (b) <i>At premium</i> Vendor's A/c To x% Debentures A/c To Securities Premium Reserve A/c (c) <i>At a discount</i> Vendor's A/c Discount on Issue of Debenture A/c To x% Debentures A/c	Dr. Dr. Dr.		

* Either of the two will appear.

➤ Issue of Debentures as a Collateral Security

First Method

No entry is made in the books of accounts since no liability is created by such issue of debentures.

Balance Sheet of X Company as at _____

Particulars	Note No.	Amount (₹)
I. EQUITY AND LIABILITIES		
1. <u>Non-current Liabilities</u>		
Long-term borrowings	1.	xxx

Notes to Accounts:

Particulars	Amount (₹)
1. Long-term borrowings	
Bank Loan	xxx
(Secured by issue of _____, x% debentures of ₹_____ each as Collateral Security)	

Second Method

The issue of debentures as a collateral security may be recorded by means of journal entry as follows:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Debenture Suspense A/c Dr. To 9% Debentures A/c (For issue of _____, x% debentures of ₹_____ each as collateral security for bank loan of ₹_____) 		xxx	xxx

Balance Sheet of X Company as at _____ (an Extract)

Particulars	Note No.	Amount (₹)
I. EQUITY AND LIABILITIES		
1. <u>Non-current Liabilities</u>		
Long-term borrowings	1.	xxx

Notes to Accounts:

Particulars	Details	Amount (₹)
1. Long term borrowings		
Bank loan		xxx
_____, x% debentures of ₹_____ each	xxxx	
Less: Debenture Suspense A/c	(xxx)	—
		xxx



Top Tip

In both the methods, the journal entry for obtaining loan from bank will be as follows:

Bank A/c Dr. xxx
 To Bank Loan A/c xxx
 (For obtaining bank loan)

When the loan is repaid, the issue entry will be cancelled by a reverse entry, as given below:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	x% Debentures A/c Dr. To Debenture Suspense A/c (For cancellation of x% debentures on repayment of bank loan) 		xxx	xxx

➤ Redemption of debentures by payment in lump sum (out of capital)

1. If debentures are to be redeemed at par:

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	x% Debentures A/c Dr. To Debentureholders A/c (For amount of debentures due for redemption at par) 			
	Debentureholders A/c Dr. To Bank A/c (Being amount paid to debentureholders) 			

2. If debentures are to be redeemed at premium:**Journal**

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	x% Debentures A/c Dr. Premium on Redemption of Debentures A/c Dr. To Debentureholders A/c (For amount of debentures due for redemption at premium)			
	Debentureholders A/c Dr. To Bank A/c (Being amount paid to debentureholders)			

➤ Redemption on Debentures Out of Profits by Creating Debenture Redemption Reserve (DRR)**Journal**

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Surplus, i.e. Balance in Statement of Profit and Loss Dr. To Debenture Redemption Reserve A/c (For creation of debenture redemption reserve)			
	Debenture Redemption Investment A/c Dr. To Bank A/c (For purchase of Debenture Redemption Investment)			
	Bank A/c Dr. TDS Collected/Deposited A/c Dr. To Interest on Debenture Redemption Investment A/c (Being interest received on Debenture Redemption Investment)			
	Bank A/c Dr. To Debenture Redemption Investment A/c (Being Debenture Redemption Investment sold)			
	Debentures A/c Dr. To Debentureholders A/c (For amount of debentures due for redemption at par) OR			
	Debentures A/c Dr. Premium on Redemption of Debentures A/c Dr. To Debentureholders A/c (For amount of debentures due for redemption at premium)			
	Debentureholders A/c Dr. To Bank A/c (Being amount paid to debentureholders)			
	Debentureholders A/c Dr. To Bank A/c (Being amount paid to debentureholders)			
	Interest on Debenture Redemption Investment Dr. To Statement of Profit and Loss (For transfer of Interest on Debenture Redemption Investment)			
	Debenture Redemption Reserve A/c Dr. To General Reserve A/c (Being debenture redemption reserve transferred to general reserve)			

Chapter 8: Analysis of Financial Statements**➤ Statement of Profit and Loss****Statement of Profit and Loss for the year ended 31 March, 20....**

Particulars	Note No.	Current Year (₹)	Previous Year (₹)
I. Revenue from operations (<i>Sale of products and services, Other operating revenues</i>)			
II. Other income (<i>Interest income, Dividend income, Net gain on sale of investments, Other non-operating income</i>)			
III. Total Revenue (I+II)			

IV. Less: <u>Expenses</u> :			
• Cost of materials consumed • Purchases of stock-in-trade • Changes in inventories of finished goods, Work-in-progress and stock-in-trade (<i>opening inventory – closing inventory</i>) • Employee benefits expense (<i>salary, wages, etc.</i>) • Finance costs (<i>interest payments</i>) • Depreciation and amortisation expense • Other expenses			
Total expenses			
V. Profit before tax (III–IV)			
VI. Less: Tax provision			
VII. Profit after tax (V–VI)			

➤ **Balance Sheet of Company**

Balance Sheet of Company as at 31st March, 20....

Particulars	Note No.	Figure as at the end of current year (₹)	Figure as at the end of previous year (₹)
I. EQUITY AND LIABILITIES			
1. Shareholders' Funds (a) Share Capital (b) Reserves and Surplus (c) Money received against share warrants 2. Share Application money pending allotment 3. Non-current Liabilities (a) Long term borrowings (b) Deferred tax liabilities (net) (c) Other long term liabilities (d) Long term provisions 4. Current Liabilities (a) Short-term borrowings (b) Trade payables (c) Other current liabilities (d) Short-term provisions			
Total			
II. ASSETS			
1. Non-Current Assets (a) Fixed assets (i) Tangible assets (ii) Intangible assets (iii) Capital work-in-progress (iv) Intangible assets under development (b) Non-current investments (c) Deferred tax assets (net) (d) Long-term loans and advances (e) Other non-current assets 2. Current Assets (a) Current investments (b) Inventories (c) Trade receivables (d) Cash and cash equivalents (e) Short term loans and advances (f) Other current assets			
Total			

➤ **Comparative Statement of Profit and Loss**

Particulars	Note No.	2019-20 (₹)	2018-19 (₹)	Absolute Increase/Decrease (₹)	Percentage Increase/Decrease (%)
I. Revenue from operations					
II. Other income					
III. Total Revenue (I+II)					

IV. Less: <u>Expenses</u> :					
• Cost of materials consumed					
• Purchases of stock-in-trade					
• Changes in inventories of finished goods, work-in-progress and stock-in-trade					
• Finance costs					
• Depreciation and amortisation expense					
• Other expenses					
Total expenses					
V. Profit before tax (III–IV)					
VI. Less: Tax provision					
VII. Profit after tax (V–VI)					

➤ **Comparative Balance Sheet**

Particulars	Note No.	March 31, 2019 (₹)	March 31, 2020 (₹)	Absolute Change (₹)	Percentage Change (%)
I. Equity and Liabilities					
1. <u>Shareholders' Funds</u>					
(a) Share capital					
(b) Reserve and surplus					
2. <u>Non-current Liabilities</u>					
Long-term borrowings					
3. <u>Current liabilities</u>					
Trade payables					
Total					
II. Assets					
1. <u>Non-current assets</u>					
(a) <u>Fixed assets</u>					
Tangible assets					
Intangible assets					
2. <u>Current assets</u>					
Inventories					
Cash and Cash Equivalents					
Total					

➤ **Common Size Statement of Profit and Loss**

Particulars	X Ltd. (₹)	Y Ltd. (₹)	X Ltd. As a % of Revenue from operations	Y Ltd. As a % of Revenue from operations
I. Revenue from Operation				
II. Add: Other Incomes				
III. Total Revenue (I+II)				
IV. Less: <u>Expenses</u>				
Cost of material Consumed				
Employee benefit expenses				
Total expenses				
V. Profit Before Tax (III-IV)				
VI. Less: Tax				
VII. Profit after Tax (V-VI)				

➤ **Common Size Balance Sheet**

Particulars	Absolute Amounts		Percentage of Balance Sheet Total	
	P Ltd. (₹)	Q Ltd. (₹)	P Ltd. (%)	Q Ltd. (%)
I. EQUITY AND LIABILITIES				
1. <u>Shareholders' Funds</u>				
(a) Share capital				
(b) Reserve and surplus				
2. <u>Non-current Liabilities</u>				
Long-term borrowings				
3. <u>Current liabilities</u>				
Trade payables				
Total				

II. ASSETS				
1. <u>Non-current assets</u>				
a) Fixed assets				
Tangible assets				
Intangible assets				
b) Non- Current investments				
2. <u>Current assets</u>				
Inventories				
Total				

Chapter 9: Cash Flow Statement

➤ Preparation of Cash Flow Statement

CASH FLOW STATEMENT OF _____ (Company) for the year ending _____

Particulars	Details (₹)	Amount (₹)
I. CASH FLOWS FROM OPERATING ACTIVITIES		
Net Profit/Loss before Tax and Extraordinary Items	xxx or (xxx)	
<u>Add:</u> <i>Non-cash and non-operating expenses for which deductions already made</i>		
• Depreciation	xxx	
• Intangible Assets amortised (Goodwill, Patents, etc. written-off)	xxx	
• Loss on sale of fixed assets or non-current assets	xxx	
• Finance cost (Interest paid on long-term borrowings)	xxx	
• Preliminary expenses written off	xxx	
• Discount/loss on issue of debentures written off	xxx	
• Provision made for doubtful debts	xxx	
• Premium on redemption of debentures	xxx	
<u>Less:</u> <i>Non-operating incomes for which additions already made in Statement of Profit and Loss</i>		
• Interest income	(xxx)	
• Dividend income	(xxx)	
• Rental income	(xxx)	
• Profit on sale of fixed assets or non-current assets	(xxx)	
• Excess provision for depreciation written back	(xxx)	
• Excess provision for doubtful debts written back	(xxx)	
Operating Profit before working capital changes	xxx or (xxx)	
<u>Add:</u>		
• Decrease in current assets (<i>other than current investments, cash and cash equivalents and short-term loans and advances</i>)	xxx	
• Increase in current liabilities (<i>other than short-term borrowings and short-term provisions</i>)	xxx	
<u>Less:</u>		
• Increase in current assets (<i>other than current investments, cash and cash equivalents and short-term loans and advances</i>)	(xxx)	
• Decrease in current liabilities (<i>other than short-term borrowings and short-term provisions</i>)	(xxx)	
Cash Generated from (or used in) Operating Activities before Tax and Extraordinary Items	xxx or (xxx)	
<u>Less:</u> Income Tax paid (Tax on normal profits/operating profits)	(xxx)	
<u>Add:</u> Income Tax Refund received	xxx	
Cash Generated from (or used in) Operating Activities after Tax but before Extraordinary Items	xxx or (xxx)	
+/- Effects of Extraordinary Items (e.g. insurance proceeds from earthquake disaster settlement will be added whereas loss due to theft will be subtracted)	xxx or (xxx)	
A. Net Cash from (or used in) Operating Activities		xxx or (xxx)
II. CASH FLOWS FROM INVESTING ACTIVITIES		
(i) Proceeds from Sale of Tangible Fixed Assets	xxx	
(ii) Proceeds from Sale of Non-Current Investments	xxx	
(iii) Interest received, Dividend received and Rent received	xxx	
(iv) Purchase of Fixed Tangible Assets and Intangible Assets like goodwill	(xxx)	
(v) Purchase of Non-Current Investments	(xxx)	
(vi) Capital Gain Tax paid	(xxx)	
B. Net Cash from (used in) Investing Activities		xxx or (xxx)

III. CASH FLOWS FROM FINANCING ACTIVITIES		
(a) Proceeds from issue of Share Capital (both equity and preference shares)	xxx	
(b) Proceeds from Long-term Borrowings (e.g., debentures, bonds, long-term loan from bank, x% deposits)	xxx	
(c) Securities Premium Reserve (Premium on issue of shares or debentures)	xxx	
(d) Proceeds from Bank Overdraft raised	xxx	
(e) Redemption of Debentures or Preference Shares (including premium on redemption)	(xxx)	
(f) Repayment of Long-term Loan from Bank/x% Deposits	(xxx)	
(g) Buy Back of Equity Shares	(xxx)	
(h) Dividend Paid (both final dividend and interim dividend)	(xxx)	
(i) Interest on Long-term Borrowings Paid (e.g. interest on debentures, long-term loan from bank, x% deposits)	(xxx)	
(j) Dividend Tax paid	(xxx)	
C. Net Cash from (used in) Financing Activities		xxx or (xxx)
NET INCREASE (OR DECREASE) IN CASH & CASH EQUIVALENTS (A+B+C)		xxx
Add: <u>Cash and Cash Equivalents in the beginning</u>		
Cash in hand	xxx	
Cash at bank	xxx	
Current Investments (marketable securities)	xxx	xxx
<u>Cash and cash Equivalents at the end of the year</u>		
Cash in hand	xxx	
Cash at bank	xxx	
Current Investments (marketable securities)	xxx	xxx

Working Notes:**1. Calculation of Tax paid/Provision for Tax made during the current year:**

Dr.		Provision for Tax A/c		Cr.
Particulars	Amount (₹)	Particulars	Amount (₹)	
To Bank A/c (Tax paid)		By Balance b/d		
To Balance c/d		By Statement of Profit and Loss		
		(Tax provision of current year)		

2.

Dr.		Tangible Fixed Assets A/c		Cr.
Particulars	Amount (₹)	Particulars	Amount (₹)	
To Balance b/d		By Depreciation		
To Statement of Profit and Loss (profit on sale)*		By Bank A/c (sale)		
To Bank A/c (purchase)		By Statement of Profit and Loss (loss on sale)*		
		By Balance c/d		

* Either of the two will appear.

OR

When accumulated depreciation account is appearing in notes to accounts of Balance Sheet:

Dr.		Tangible Fixed Assets A/c		Cr.
Particulars	Amount (₹)	Particulars	Amount (₹)	
To Balance b/d		By Bank A/c (proceeds from sale)		
To Statement of Profit and Loss (profit on sale)*		By Accumulated Depreciation (on fixed asset sold)		
To Bank A/c (new fixed assets purchased)		By Statement of Profit and Loss (loss on sale)*		
		By Balance c/d		

* Either of the two will appear.

Dr.		Accumulated Depreciation Account		Cr.
Particulars	Amount (₹)	Particulars	Amount (₹)	
To Tangible Fixed Assets A/c (accumulated depreciation on fixed asset sold)		By Balance b/d		
To Balance c/d		By Statement of Profit and Loss		
		(Depreciation charged during the year)		

3. Calculation of Net profit/loss before tax and extraordinary items:

Particulars	Amount (₹)
Net Profit/Loss after Appropriations (difference between the current year's and previous year's balance of Statement of Profit and Loss)	xxx or (xxx)
Add: Interim Dividend paid	xxx
Add: Final Dividend paid	xxx
Add: Transfer to Reserves (e.g. transfer to general reserve)	xxx
Add: Provision for Tax made during the current year	xxx
Less: Income Tax Refund received	(xxx)
Net Profit/Loss before Tax	xxx or (xxx)
Less: Loss due to earthquake (Extraordinary item)	(xxx)
Net Profit before Tax and Extraordinary Items	xxx or (xxx)

Important Tips for Attempting CBSE Accountancy Examination

- During 15 minutes reading time, first of all read the questions having internal choice (Accounting for Share Capital – 8 marks question, Accounting for Partnership Firm – 8 marks question, etc.) and make selection of the option in those questions.
The questions will be written first in Hindi with Question Number, and then in English without Question Number. Be very careful! There may be chances to miss some question (s) to be answered. If possible, you may cross Hindi Questions and write Question Number on English Questions using pencil.
Then read all the Objective Type Question, MCQs and Calculate their answers.
- Make Formats properly including Date Column, J.F/L.F Column etc. (*Format is not compulsory in Theory Questions*)
- Don't forget to write Account Heads – Revaluation Account, Partners' Capital Accounts, etc.
- Don't forget to write Question Number you are answering.
- Read all questions word to word. Otherwise you may miss important information, e.g. X Ltd. issued 1,00,000 shares at a premium of ₹10 per share payable as ₹10 on Application, ₹30 (including premium) on Allotment and ₹10 on first and final call **each**.
In this question there are two calls of ₹10 each. So the Face Value of a share is ₹50.
Similarly, the profit sharing ratio of partners, sometimes, may not be given in the beginning but at the end of the question.
- Write Working Notes only when asked in the questions with instruction – '*Show your workings clearly.*'
- Answer each question from new page (except 1 mark questions)
- Always follow Step by Step Calculation in questions related to Ratio Analysis, Valuation of Goodwill, Stationery Consumed etc.
- If you are a slow-writer and not able to finish the paper on time in your school examinations, you must follow the following important tips to be able to finish your paper on time with some revision time on hand:
 - You needn't use pencil and scale to draw formats. You may use the pen itself you are writing with to draw formats.
 - You needn't write 'To' and 'By' in Ledger Accounts. It will save at least 5 minutes of time in total.
 - Write narrations of the journal entries as briefly as possible without writing 'Being' or 'For', for example, '*Forfeiture of 1,000 shares.*'
- Attempting the full paper on time with 20-25 minutes Revision Time in hand is necessary to score 100% marks. The following Time Schedule will help you managing your time when sitting the examination hall.

Time Schedule

S. No.	Questions	Marks	Duration	Time
1.	Part B – Analysis of Financial Statements	20 marks	40 minutes	11:10 a.m.
	• 7 objective type questions of 1 marks each = 7 marks • 1 short question on ratio analysis/balance sheet = 3 marks • 1 short question on comparative/common size statement = 4 marks • 1 long question on cash flow statement = 6 marks			